

expand its portfolio. Following Maggi's market comeback in late 2015, Nestlé spent the next six years launching around 100 new products across segments, nearly 25 under the Maggi brand. Apart from newer variants of instant noodles and pasta, it entered the ready-to-cook Indian snacks market with products like poha and upma.

According to K.S. Narayanan, former MD of McCain Foods India, its stature among millennials played a big role in its recovery. "For most millennials, Maggi is the first thing they have cooked in their lives. So, the emotional attachment and the familiarity of the taste of Maggi masalas is unmatched," he says.

While brand Maggi remained under the spotlight, dozens of products in beverages (Nescafé) and chocolates & confectionery (KitKat and Munch) were introduced. To improve volume and value share from these segments that contribute 26 per cent to its sales, Nestlé launched premium offerings under established brands like KitKat and Munch, and ready-to-drink items under Nescafé and Milo, which had failed in its original powder form in India. It also forayed into the breakfast cereals market with Nestlé Breakfast, which it sells in 130 countries.

98 | According to Shubhajt Sen, Founding Partner at A Priori Consultants, a marketing strategy solutions provider, while Nestlé surely has the capability to succeed

have not only helped it launch customised products for micro-markets but also kept costs in check while adding market share. For instance, when the market share of its hot-selling Masala-ae-Magic faced pressure in south India, Nestlé launched a different variant Masala-vin-Magic based on analytics. Similarly, its instant coffee portfolio gained market share in Andhra Pradesh after it tweaked its offering by changing the mix of coffee and chicory.

According to Krishnan Sambamoorthy, Senior Vice President of Research at Motilal Oswal Financial Services, technology is playing a key role in the growth of large MNCs like Nestlé. "In India, food habits and preferences change every few hundred kilometres. So, use of technology in fine-tuning the go-to-market strategy with the right product mix and/or SKUs (stock-keeping units) is an advantage. There is a reason why larger players continue to grow faster, even on a huge base," he says.

Nestlé's product launches were backed by a big advertisement & promotions (A&P) push. In 2018, the share of its A&P spend against domestic sales rose to 6.9 per cent—the highest in a decade—which coincided with the launch of some 15 products under Maggi in 24 months and its foray into the breakfast cereals market with NesPlus. And in 2019, when it launched 20 products—the maximum in a year—the A&P share was 6.7 per cent.

## NESTLÉ HAS INTEGRATED ITS MARKET EXPANSION DRIVES WITH TECH TO KEEP ITS NEW PRODUCTS TARGETED AND COST PRUDENT

in the breakfast cereals category, the potential of the local market is questionable. "Even upmarket Indians are yet to accept breakfast cereals as their core food, limiting the scope of the market," he says. Sen, who had been a global executive at FMCG major GSK Consumer, is optimistic about Nestlé's prospects. "Nestlé has one of the best portfolios in the local FMCG market. With such trusted and market-leading brands, it enjoys pricing power for most of its portfolio," he says, adding that a strategic new products portfolio would be required to achieve scale without diluting its high margins.

To keep its new products targeted and cost prudent, Nestlé's Narayanan says the company has integrated its market expansion drives with digital technology. During the pandemic, it tied up with a handful of digital analytics start-ups like Midas, which help it take decisions based on data collected from millions of retailers and consumers. It is also working with digital start-ups like ElasticRun that help in boosting rural penetration. Such measures

Yet, despite the volume push and the rise in A&P spends, Nestlé has managed to keep its margins intact. In fact, its Ebitda margin has improved by over 400 basis points in the past six years to 24.3 per cent in 2021. Additionally, the thrust on new launches has boosted its top line, as nearly 5 per cent of its domestic sales (which is over 95 per cent of Nestlé India's total sales) now comes from the products that it introduced.

As per Motilal Oswal's analysis, the initiatives have helped Nestlé even during the pandemic. In 2021, the steady demand for convenience and improved availability helped Maggi noodles and Masala-ae-Magic achieve double-digit growth, while Maggi sauces continued to grow profitably by focussing on premiumisation. Data from Nielsen shows, as of end-December 2021, Nestlé's Maggi holds the top spot in the domestic instant noodles market with 59.7 per cent share, Nestlé is the dominant market leader in categories like infant formula (Nan, Lactogen, etc., 66.5 per cent), infant cereals (Cerelac,